

May 30, 2026

To:

The Editors

Economics of Education Review

Dear Editors,

I am pleased to submit “The Effects of School Capital Investments: A Reassessment” for consideration as a **Short Communication** in *Economics of Education Review*.

The paper asks how far the national return to school capital investment generalizes across states. Building on Biasi, Lafortune, and Schönholzer (2025, *Quarterly Journal of Economics*), who estimate the average effects of locally financed school bonds on student achievement and house prices, I disaggregate their national estimates and show that the average masks substantial state-level heterogeneity: state-specific returns are widely dispersed and, in a number of states, near zero or of the opposite sign. This dispersion gives quantitative content to the “contexts of convenience” concern in the school-finance literature: a national average need not describe the return to capital in any particular state. The paper also reports a close-election robustness diagnostic showing that the headline effects, while reproduced exactly, are recovered largely from variation away from the bond-passage threshold and lose precision as the comparison is made more local. As groundwork, I independently reproduce the original estimates in both Stata and R.

The contribution is a compact, policy-relevant result about the external validity of an influential education-finance finding, which I believe is well suited to the Short Communications format. The manuscript is self-contained at roughly 3,000 words with five main-text exhibits and a short online appendix, within the journal’s length and exhibit limits, and it falls squarely within the journal’s scope in education finance and the economics of education.

The manuscript is original, is not under consideration elsewhere, and has not been previously published. All data derive from the replication files for Biasi, Lafortune, and Schönholzer (2025) and their third-party sources (NCES, the Stanford Education Data Archive, and the Contat–Larson house price index); the author-written Stata and R code is available as supplementary material.

Thank you for considering this manuscript for publication. I look forward to your feedback and am happy to provide any additional information or materials as needed.

Sincerely,



Saannidhya Rawat
Department of Economics
University of Cincinnati
rawatsa@mail.uc.edu